BERAPIT MOBILITY

BERAPIT MOBILITY SDN. BHD.

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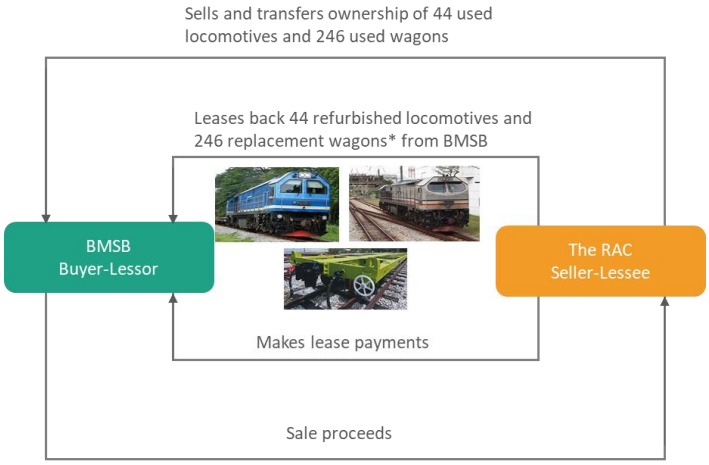


SUSTAINABILITY SUKUK FRAMEWORK

September 2024

1. Background

Incorporated in September 2023, BMSB Mobility Sdn Bhd ("BMSB") is a subsidiary of SMH Rail Sdn Bhd ("SMH Rail"), Malaysia's largest privately-owned prime rolling stock manufacturer, and maintenance, repair and overhaul ("MRO") service provider. BMSB entered into sale and leaseback agreements for a fleet of locomotives and wagons with the Railway Assets Corporation ("RAC") on February 19, 2024 pursuant to SMH Rail's successful bid on RAC's cargo fleet remanufacturing/manufacturing project, which was initiated through a request for proposal. RAC is a federal statutory body under the Ministry of Transport. A shareholding maintenance covenant in BMSB's Sukuk documentation requires SMH Rail to ensure that BMSB will remain a direct subsidiary of SMH Rail and a single-project company for the duration of the Programme.



* BMSB is responsible for the scheduled maintenance of both the leased locomotives and replacement wagons throughout the entire duration of the respective 25-year lease agreements.

BMSB's business purpose and activities are limited to implementing the RAC's cargo fleet remanufacturing/manufacturing project under a sale and leaseback structure (collectively, the "Project"). Under an Agreement for the Sale and Leaseback (Locomotives), BMSB, as buyer-lessor, acquired ownership of 44 locomotives built between 2002 and 2005 from the RAC in the role of seller-lessee. BMSB is required to refurbish the fleet before leasing the locomotives back to RAC over a period of 25 years under a Lease Agreement for Rolling Stock (Locomotive). RAC also sold an existing fleet of 246 wagons to BMSB through an Agreement for the Sale and Leaseback (Wagons) pursuant to which BMSB will provide 246 replacement wagons under a Lease Agreement for Rolling Stock (Wagons). BMSB will be responsible for the scheduled maintenance of the fleet of leased locomotives and replacement wagons over the whole duration of the respective lease agreements. The lease arrangements for locomotives and wagons will expire 25 years after the date of delivery of the last locomotive and wagon by the lessor, respectively.

BMSB is establishing a Sustainability Islamic Medium-Term Notes ("Sustainability Sukuk Wakalah") Programme of RM1.5 billion in nominal value under the Shariah principle of Wakalah Bi Al-Istithmar ("Sustainability Sukuk Wakalah Programme" or "Programme") and issuing Sustainability Sukuk Wakalah under the Programme to part-finance the costs associated with the RAC's cargo fleet remanufacturing/manufacturing project.

SMH Rail has major roles in the project as sponsor and liquidity provider for BMSB's Sustainability Sukuk Wakalah. As a subsidiary of SMH Rail, BMSB shares the same commitment as SMH Rail to become a socially and environmentally responsible organisation and will leverage SMH Rail's experience of navigating regulatory requirements related to sustainability in the rail industry.

2. SMH Rail Group

SMH Rail and its subsidiaries (the "Group") offers rail solutions across rolling stocks, components, MRO services as well as rail freight.

Passenger Rolling Stock

SMH Rail's passenger rolling stock solutions support a whole range of services, including urban transit, mainline travel, regional transport, and airport transit. SMH Rail's urban transit solutions include metro trains and multiple units (MUs).

Metro trains



SMH Rail's driverless metro trains support high-capacity and cost-effective transport in dense urban areas and high-demand corridors in cities worldwide.

In October 2012, SMH Rail in consortium with Siemens Malaysia and Siemens AG secured the contract to supply 58 driverless four-car trainsets for the Sungai Buloh-Kajang Line (MRT Line-1) project. SMH Rail's train assembly plant in Rasa, Hulu Selangor, Malaysia's first MRT train assembly plant was also the assembly plant for the Sungai Buloh-Serdang-Putrajaya (SSP) Line (MRT Line-2).

Monorail cars

In April 2022, SMH Rail, together with its Indian partner, Medha Servo Drives Pte Ltd, secured a contract from the Mumbai Metropolitan Region Development Authority for the design, manufacture, supply and testing of 40 monorail cars for the Mumbai Monorail project in India.

Multiple Units (MUs)

SMH Rail's custom-designed diesel multiple units offer a fuel-efficient solution for local transit ecosystem on non-electrified lines while its electric multiple units offer low-carbon intercity passenger transit solutions for cities connected by electrified lines.

Freight Rolling Stock

SMH Rail offers a wide variety of freight rolling stock options to meet customers' specific requirements. These include diesel-electric locomotives, freight wagons and special rail vehicles designed to support rail freight growth, rail productivity, and to help shift more freight on to rail and off the roads.

Diesel electric locomotives



Diesel-electric locomotives can operate on non-electrified mainline tracks, providing flexibility in terms of route selection unlike electric locomotives, which require electrified infrastructure. For this reason, diesel-electric locomotive technology continues to be a reliable and efficient solution for mainline operations in many regions around the world.

Launched in 2021 and designed in line with UIC (International Union of Railways) standards, SMH Rail's H10 series freight locomotives support long-haul services and heavy haulage with remote performance monitoring and diagnostics.

The H10 Series locomotives are the 'First Made in Malaysia Locomotive' for the export market.

Freight wagons



SMH Rail produces bespoke freight wagons tailored to unique customer requirements, including cargo type, protection needs, transportation distance, loading efficiency, and maintainability.

Special Purpose Rail Vehicles

SMH Rail designs and manufactures rail vehicles tailored to specific purposes, including rail trolleys, multi-purpose track vehicles, and track maintenance vehicles. These vehicles are intended for industrial use and are suitable for a diverse range of operational environments.



Remanufacturing of Rolling Stock



SMH Rail remanufactures grounded and end- of-lifecycle locomotives at its
locomotive remanufacturing facilities in Malaysia and Tanzania.

By refurbishing and upgrading components, including the mechanical, electrical, and structural systems, the locomotives can be brought up to modern standards and continue to provide reliable service for an extended period.

Remanufacturing reduces the need for new materials and minimises waste, allowing the greenhouse gas ("GHG") emissions generated by new locomotive building to be avoided.

Remanufacturing also allows rail operators to optimise their fleets with reduced lead time and without the significant costs associated with acquiring entirely new rolling stock.

Components

SMH Rail sources and supplies an extensive range of rolling stock components: bogies, wheels, axles, U-tube, wheel press, locomotive printed circuit ("PC") boards.



Bogie



Wheelset



Axle



U-Tube



Wheel Press



Locomotive PC Boards

MRO Services

SMH Rail has an over two decades track record of performing rolling stock maintenance, repair and overhaul services across locomotives, mass rapid transit (MRT) and light rail systems. SMH Rail's MRO services include periodic maintenance, unscheduled maintenance and repair, complete overhaul of rolling stock, components overhaul and repair, as well as on-site and remote technical support. Periodic preventive maintenance ensures that the rolling stock is maintained to original equipment manufacturer ("OEM") standards to prevent major equipment failure.



SMH Rail's wheel shop facilities are certified by Association of American Railroads ("AAR"). Wheelset maintenance facilities are offered to railway operators on a Build, Operate and Transfer ("BOT") basis.

Enhanced wheelset management involves adopting a proactive maintenance model that utilises modern predictive techniques. This approach not only extends the lifespan of railway wheelsets but also enhances railway safety. SMH Rail also offers solutions for gearbox overhaul and bearing reconditioning.

Rail Freight

SMH Rail offers a variety of heavy haulage locomotive and freight wagons, and a number of business model options to meet the specific requirements of its customers. In particular, one-stop rail freight solutions are offered to rail operators and logistics service providers under leasing, pay-as-use and revenue-sharing business models where we provide and maintain the rolling stock in use while retaining ownership of the same.



The alternative service-based business model options complement the conventional product-based model by allowing a more customer-centric approach to be taken where customers chose not to commit capital to asset ownership.

3. Sustainability at SMH Rail Group

SMH Rail's vision and mission are rooted in contributing towards an even safer and more efficient railway system by designing and delivering innovative solutions for passenger and freight transportation. SMH Rail's overarching purpose is to help expedite the shift from polluting transport modes toward the most efficient low- or no-pollution modes by offering solutions that support a just transition on climate change.



Our Vision

Innovative manufacturing and extending life of railway rolling stock.

Our Mission

We are passionate about providing our clients with innovative, on time and cost-effective maintenance and engineering solutions for their railway rolling stock.



SMH Rail and its subsidiaries commit to providing energy-efficient, low-emission, and safe rail transportation solutions, in supporting Malaysia's sustainable transport agenda and climate goals. Rail transport is generally more energy-efficient and less GHG intensive than other modes of transportation, resulting in lower energy consumption and GHG per ton-mile or passenger-mile. Well-suited for the efficient movement of large quantities of goods over long distances, rail transport can reduce the reliance on trucks for freight transportation, leading to lower fuel consumption and emissions. Adaptability of rolling stock to electrification or greener fuels, meanwhile, allow for a transition to cleaner energy sources.

SMH Rail has drawn up a Sustainability Roadmap to provide a clear direction and focus for its sustainability efforts. The roadmap provides the context, sets out the steps and initiatives SMH Rail and its subsidiaries will take to fully integrate sustainability into their operations, products, and services, and to achieve its sustainability goals. Key areas of focus have been identified, divided into four categories: Governance, Operations, Products/Services and People and Society as shown below:



Our Governance

- Establishing board accountability
- Enhancing stakeholder engagement
- Integrating sustainability into strategic planning and risk management processes
- Fostering a culture of sustainability



Our Operations

- Reducing our energy and carbon footprint reduction
- Ensuring supply chain responsibility
- Improving resource efficiency at our manufacturing sites
- Continuous improvement and innovation to drive sustainable manufacturing practices

Our Products/Services

- Providing modern, climate-friendly rolling stock to enable green mobility and logistic options
- Extending the life of rolling stock
- Increasing the productivity in rail freight transport
- Providing innovative solutions which are more adaptable and flexible towards customer needs



Our People and Society

- Prioritising employee health and safety through robust occupational health and safety practices.
- Promoting human capital development via skills development and training
- Supporting local value creation through local procurement and local content programmes.



In drawing up the roadmap, material potential environmental, social, and governance risks as well as emerging opportunities that could have significant impact on the Group's businesses, or that are important or are of concern to stakeholders have been taken into consideration. The roadmap establishes a timeline with key milestones to track progress towards sustainability goals.

In the area of governance, SMH Rail (and its subsidiaries including BMSB in particular) has established governance structures with clear lines of authority, accountability and responsibility to drive value creation and impact. This will help ensure that as a cohesive group, SMH Rail maintains and reinforces its social license to operate while going beyond compliance with all relevant sustainability regulations in all the countries where it operates. To empower its workforce in integrating environmental, social, and governance (ESG) values, SMH Rail intends to provide essential training, skills, and tools, and reinforce the Group's commitment to sustainability through specific targets and measurable outcomes.

The Group is looking to reduce the impact of its operations on the environment and core to this will be implementing energy efficiency measures to reduce energy consumption and greenhouse gas emissions, and promoting responsible practices throughout its manufacturing, MRO and remanufacturing processes. In this respect, the Group's sustainability roadmap also encourages continuous improvement of supply chain sustainability to minimise environmental harm from factors like energy usage, water consumption and waste production while having a positive impact on people and surrounding communities. SMH Rail has drawn up a principles-based sustainability policy to outline high-level principles, values, and priority areas to ensure a cohesive and unified approach to ESG integration across its group companies.

In the area of products and services, SMH Rail is committed to providing modern and dependable rolling stock which are capable of operating reliably from the first day of service introduction at a lower life-cycle cost and with more capacity to cope with growing passenger and freight mobility demand. For freight forwarder/shippers, this means a more cost-effective, punctual and more climate-friendly shipment option. By offering MRO, retrofitting and modernisation services, the lifespan of rolling stock can be prolonged and sustainable procurement with a life cycle perspective can be supported. This will also allow railway operators to transition their locomotive fleets when zero-emission technologies are commercially viable and operationally safe and reliable.

SMH Rail's focus is on product and process innovations that effectively integrate environmental and social demands. The Group continues to take an innovation-forward approach to play an active role in shaping transport of the future, particularly that of emerging markets in which it maintains an active presence. These are markets in which rail transportation can play a significant role in promoting sustainable and inclusive economic growth, apart from contributing to the achievement of climate goals.

In the area of people and society, the Group's focus is on meaningful investments in human capital and positively impacting the communities in which it operates. The manufacturing, MRO and remanufacturing of rolling stock contributes to inclusive economic growth by prioritising local sourcing, nurturing skill development and fostering the development of local supply chains.

In summary, the Group, BMSB included, recognises the significance of aligning its strategies and operations with universal principles concerning human rights, labour, environmental protection, and anti-corruption measures, as this is essential for maintaining its social license to operate.

Rail Freight's Role in Mitigating Climate Change and SMH Rail's Strategic Response

Increasing traffic demand, congestion, rising energy prices, and climate change are some of the major issues that Malaysia and the wider world are facing. Tackling these challenges call for the railway sector to take on a larger share of transport demand in the next few decades. A modal shift from road to rail is key to achieving a climate-neutral and resource-efficient transport system. Railways are typically safer than all other transport modes with the exception of commercial aviation although the actual safety performance can vary significantly even within economically developed regions.

Transport accounts for more than a third of CO_2 emissions from end-use sectors

The 2015 Paris Agreement commits countries to limit the global average temperature rise to well below 2°C above pre-industrial levels, and to aim for 1.5°C. The transportation sector is a leading contributor to GHG emissions; hence its decarbonisation is critical in light of accelerating climate change.

The Net Zero Scenario requires transport sector emissions to fall by around a quarter by 2030

Aligning transportation with the International Energy Agency's Net Zero Scenario requires implementing policies to encourage shifts to low-carbon travel options and improving energy efficiency across all transport modes, despite growing demand. Increasing rail freight's share of transportation by 2030 offers a more sustainable solution for fostering transport growth, considering road freight's environmental and societal impacts.

While achieving zero net emissions by 2050 requires full adoption of non-carbon fuels or energy sources, minimising emissions before then is crucial due to their cumulative long-term impact.

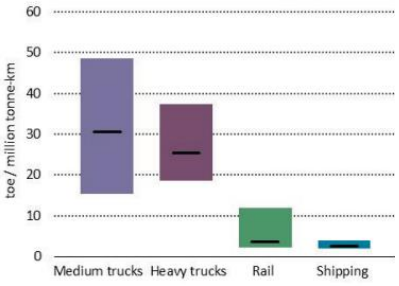
Decarbonisation of the global energy and transportation systems will take time

As individual countries craft their own pathway to decarbonise their energy and transport sectors based on their existing or potential constraints, challenges and policy priorities, variations in the pace of decarbonisation can be expected.

Rail's low energy intensity

Rail freight consumes significantly less energy per unit than road freight due to its inherent advantage of low friction between steel wheels and rails which persists over time.

Energy Intensity of Different Transport Modes, 2017



Notes: toe = tonne oil equivalent. The boxes in this figure indicate the range of average energy intensity in various countries, while the horizontal lines represent the world averages

Source: IEA 2019, *The Future of Rail – Opportunities for energy and the environment*

Rail's Avoid-Shift-Improve decarbonisation levers

Decarbonisation of transport and rail can be achieved via a mix of actions that include maximising loading (which reduces final energy per tonne of freight carried), strategic deployment of rail to shift transport from less energy efficient modes, and technical and operational improvements to rolling stock.

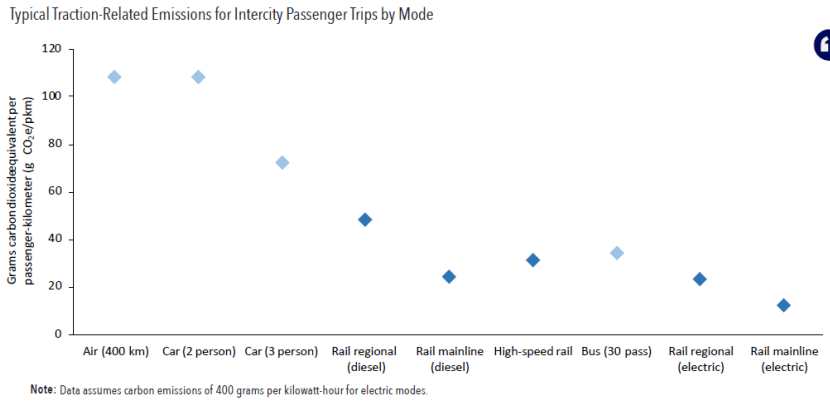
Modal shift has the greatest impact on GHG emissions

Shifting traffic to rail, even when diesel powered, has the greatest impact on GHG emissions, as compared to 'Avoid' or 'Improve' interventions. Global conventional rail tracks have not significantly expanded over the past 20 years although light, metro, and high-speed rail have all seen big rises.

Modal shift to rail is possible in suitable markets and with appropriate government support

The potential for freight traffic shifts from road to rail is determined by the freight mix, and the distances they need to be transported, which differs substantially between countries.

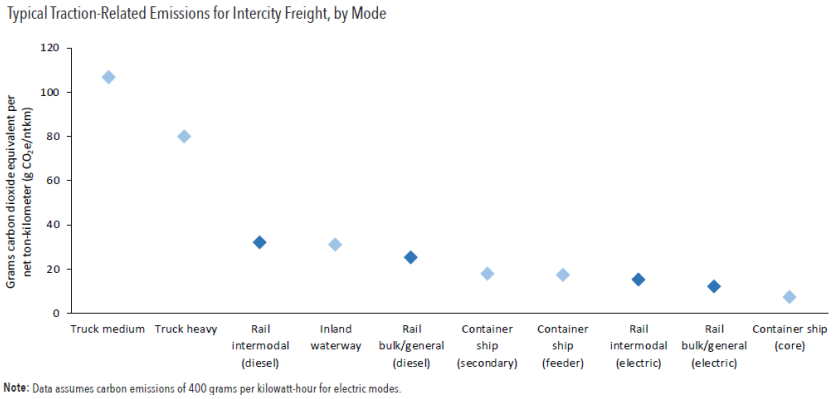
Rail transport is better suited to high volume, point-to-point freight flows of any distance. Rail has an advantage for longer distances.



> Full transition of railway traction to electrification or other non-carbon fuel will take some years. Even in the interim, moving traffic from air or road to diesel-powered rail will reduce emissions by 70 percent or more per passenger-kilometre (pkm) or tonne-kilometre (tkm) and can be an important part of the transition path to zero emissions."

Source: Lawrence, Martha, and Richard Bullock. 2022. *The Role of Rail in Decarbonizing Transport in Developing Countries*. Mobility and Transport Connectivity Series. © World Bank.

> A generalized calculation of the WTW emissions by types of freight transport and for competing freight modes shows diesel-powered rail freight generates only a quarter to one-third of the GHG emissions produced by trucks. When electrified, the rail-related emissions would be even less."



Source: Lawrence, Martha, and Richard Bullock. 2022. *The Role of Rail in Decarbonizing Transport in Developing Countries*. Mobility and Transport Connectivity Series. © World Bank."

Granular approach to different markets and product segments

SMH Rail's strategic response to climate change involves developing and manufacturing rolling stock aligned with customers' objectives and market transition pathways, while addressing climate change risks. SMH Rail aims to support modal shifts by supplying railway rolling stock designed for lifelong reliability, trouble-free operation, and extended overhaul intervals.

SMH Rail is committed to providing environmentally, economically, and socially sustainable solutions for its customers and communitie

Reducing energy and GHG intensity per tkm

As technologies and infrastructure develop and environmental policy stringency increases, zero and low emission rolling stock will increasingly displace higher emission rolling stock. SMH Rail's portfolio of rolling stock provides resiliency to variations in the pace and progress of this transformation across different markets.

SMH Rail will also continue to implement and recommend maintenance practices that ensure rolling stock operates at peak efficiency, reducing energy waste and emissions.

Improving rail's contribution to containing energy demand

SMH Rail is enhancing rail's role in containing energy demand through energy-efficient rolling stock designs, propulsion technologies, and regenerative braking systems, converting braking energy into reusable electricity.

Through use of predictive maintenance technologies and remote monitoring, SMH Rail continues to identify energy saving opportunities. The use of lightweight materials in rolling stock construction decreases their overall weight and the energy required for propulsion.

Commitment to United Nations' Sustainable Development Goals (SDGs)

The Group supports the United Nations' Sustainable Development Goals (SDG) as defined in the Sustainable Development Summit of the United Nations in 2015, joining the global partnership which aims to end deprivation, protect the planet and ensure that all people enjoy peace and prosperity. In particular, SMH Rail has identified seven specific SDGs that are most relevant to its business, environment and people as follows:

7 AFFORDABLE AND CLEAN ENERGY	We contribute to increased energy efficiency by deploying energy-efficient technologies in our rolling stock. We also help rolling stock owners avoid carbon lock-in through low carbon technology retrofitting when the mid-life overhaul of their higher emission rolling stock is undertaken. We are committed to developing and integrating energy-efficient components into rolling stock designs.
8 DECENT WORK AND ECONOMIC GROWTH	We create employment opportunities, contributing to economic growth and providing safe, respectful work conditions for our workforce. We also enable access to opportunities through our contribution to sustainable mobility. We are committed to generating employment in local communities and economic growth for local suppliers through local procurement and local content programmes.
9 INDUSTRY, INNOVATION AND INFRASTRUCTURE	We contribute to sustainable industrialisation and economic growth by developing advanced, eco-friendly technologies and rolling stock for safe, affordable, accessible and sustainable transport systems for all. We are committed to deliver innovative solutions that improve the overall efficiency of transportation networks, benefiting both people and goods movement.
12 RESPONSIBLE CONSUMPTION AND PRODUCTION	We contribute to more sustainable consumption and production patterns by optimising resource use, reducing waste, and embracing circular economy principles. We are committed to ensure efficient use of natural resources in our production processes.
13 CLIMATE ACTION	We actively support climate change mitigation by producing energy-efficient and low-emission rolling stock. By providing sustainable transportation options that support modal shift and lower rail transport's GHG intensity, we help reduce the overall carbon footprint of the transport sector. We are committed to deploy a robust carbon strategy that reflects our mitigation commitments.
17 PARTNERSHIPS FOR THE GOALS	We forge partnerships with other rolling stock manufacturers and other stakeholders in our eco-system to amplify our impact and address sustainability challenges collectively. We are committed to build a comprehensive strategic network of global and local partnerships and alliances that promote rail sustainability, environmentally, economically as well as socially.

4. Alignment with SMH Rail's Sustainability Roadmap

As BMSB is a newly established single-project company solely focused on implementing RAC's cargo fleet remanufacturing/manufacturing project under a sale and leaseback structure, SMH Rail will have a pivotal role in transferring best practices to BMSB. This includes decision-making structures, operating practices, procedures and processes aimed at reducing the Project's environmental impact and ensuring compliance with environmental regulations throughout its lifecycle. BMSB intends to reflect SMH Rail's commitment to sustainability, responsible business practices, and long-term value creation for stakeholders, as conveyed in SMH Rail's Sustainability Roadmap.

BMSB's environmental compliance and risk management during the Project's construction and commissioning phase is geared towards achieving compliance with health, safety, and environmental regulations, including that of contractors and suppliers, and to respond to environmental management concerns promptly and responsibly.

Throughout the remanufacturing and manufacturing phases, both the direct and indirect effects of facilities, operations, and activities on employee health and safety will be carefully considered and incorporated into the planning and management systems of BMSB's business functions. Proper handling and disposal of hazardous chemicals used in cleaning, painting, or coating processes, for instance is crucial for protecting human health and the environment. BMSB is mindful that adequate waste management practices during the remanufacturing, manufacturing and maintenance phases will be key to environmental pollution containment. On this note, BMSB intends to leverage existing enterprise-level environmental, health, and safety management practices of SMH Rail's current locomotive and freight wagon manufacturing plant as well as other production sites and improvement opportunities identified as part of ongoing total quality management initiatives. Priority will be placed on providing proper training, protective equipment, and a safe working environment to employees as is the continuing focus of occupational health and safety practices at manufacturing sites within the Group. The environmental performance for the entire product lifecycle of the Rolling Stocks will be considered in design and planning processes, as are long-term disposal, safety and failure issues (subject to the relevant technical parameters set out in the lease agreements). This is consistent with the prevailing approach taken in SMH Rail's existing remanufacturing and manufacturing operations.

During the maintenance phase, BMSB's primary environmental objectives will be to comply with environmental regulations and standards in all operations and to implement environmentally sustainable practices to minimise waste generation, optimise energy usage, and reduce emissions, in alignment with SMH Rail's Sustainability Roadmap. To this end, using eco-friendly materials will be prioritised whenever possible to minimise environmental impact.

Throughout the Project's lifecycle, BMSB will seek to continuously monitor and mitigate ESG risks common across construction, remanufacturing and maintenance phases. This includes social risks associated with labour practices, community impacts arising from negative externalities associated with the remanufacturing, manufacturing and maintenance phases; governance risks in respect of procurement, contracting, and supply chain management; supply chain risks; and stakeholder engagement risks. Emphasis will be placed on encouraging suppliers to adopt sustainable practices and adhere to ESG principles, such as environmental stewardship and fair labour practices. A cross-functional team, a Sustainability Working Group ("SWG"), will be established to identify, monitor and manage key risks associated with the Project including ESG risks to ensure that mitigation actions are properly planned and executed.

Lastly and most importantly, the Project is aligned to SMH Rail's commitment to deliver sustainable transportation solutions in the near-term and for the long haul. This perspective forms the basis of SMH Rail's and BMSB's conceptualisation of rolling stock as a service rather than a product, consistent with SMH Rail's corporate vision of extending the lifespan of railway rolling stock.

5. The BMSB Sustainability Sukuk Framework

BMSB has established this Sustainability Sukuk Framework (the "Framework") to set out clear and transparent guidelines and principles for the issuances of Sustainability Sukuk Wakalah from its Sustainability Sukuk Wakalah Programme. BMSB intends to mobilise private capital to finance the RAC's cargo fleet remanufacturing/manufacturing project that is being implemented under a sale and leaseback structure (the "Eligible Sustainable SRI Project").

Through the transaction, investors are supporting a project with positive environmental, social and economic impact and in respect of which eligible investments and expenditures under the Framework align with one or more of the following green and social project categories: eco-efficient and/or circular economy adapted products; clean transportation/climate transition; pollution prevention and control; and sustainable water and wastewater management. In addition to conserving natural resources, the Project helps to enhance energy efficiency, reduce greenhouse gas emissions, improve air quality and reduce associated health impacts, and help support the sustainable development of Malaysia's rail freight transport sector.

The Framework has four (4) core components:
1. Use of Proceeds
2. Project Evaluation and Selection Process
3. Management of Proceeds
4. Reporting and External Review

The Framework is aligned with:

- The International Capital Market Association's (ICMA) Green Bond Principles (GPB), Social Bond Principles (SBP), and Sustainability Bond Guidelines (SBG) (collectively referred to as ICMA Principles);
- The ASEAN Capital Markets Forum's (ACMF) ASEAN Green Bond Standards (ASEAN GBS), ASEAN Social Bond Standards (ASEAN SBS), and ASEAN Sustainability Bond Standards (ASEAN SUS) (collectively referred to as ASEAN Bond Standards); and
- The Securities Commission Malaysia's (SC) Sustainable and Responsible Investment (SRI) Sukuk Framework (SC SRI Sukuk Framework).

Sustainability Sukuk Wakalah issued under the Framework will be in alignment with the SC SRI Sukuk Framework, as well as with the ICMA Principles, in addition to the ASEAN Bond Standards, as applicable, or as they may be subsequently amended.

The Framework has been developed to ensure that BMSB, to the extent feasible, will be aligned with the principle of substantial contribution to climate change mitigation established by Bank Negara Malaysia's (BNM) Climate Change and Principle-based Taxonomy (CCPT) and SC's Principles-Based Sustainable and Responsible Investment Taxonomy for the Malaysian Capital Market (SRI Taxonomy) in order to be aligned with market best practices. Health, safety and environmental (HSE) measures are integrated during the Project's rolling stock remanufacturing and manufacturing as well as maintenance phases to ensure compliance with all the national laws and legislative requirements relating to environmental and social considerations applicable in Malaysia, such as in the areas of environmental protection, land use, human rights, anti-corruption, labour welfare and others. The funds raised from Sustainability Sukuk Wakalah issued through the Sustainability Sukuk Wakalah Programme will be deposited into a designated account jointly managed with a security agent. This account will be monitored for how the funds are used after issuance. Additionally, there will be yearly reports detailing the initial amount designated for the Project, the amount actually spent, any remaining funds and where they are held or invested until used, and the Project's impact objectives, to the best of BMSB's ability.

6. The Eligible Sustainable SRI Project

RAC's Cargo Fleet Remanufacturing/Manufacturing project

Under an Agreement for the Sale and Leaseback (Locomotives), BMSB acquired 44 used locomotives manufactured between 2002 and 2005. Separately, BMSB also acquired an existing wagon fleet from the RAC through an Agreement for the Sale and Leaseback (Wagons). BMSB is required to repair and/or refurbish the locomotive fleet and supply 246 Bogie Container Flat ("BCF") replacement wagons under corresponding leasing agreements for locomotives and wagons respectively. BMSB will be responsible for the scheduled maintenance of the fleet of leased locomotives and replacement wagons over the whole duration of the respective lease agreements. The lease agreements for both locomotives and wagons will conclude 25 years after the delivery date of the last locomotive and wagon by the lessor, respectively.

The Acquired Fleet

The acquired fleet consists of: a) 20 Class 29 locomotives; b) 19 Class 26 locomotives; c) five Class 25 locomotives; d) 195 BCF wagons; and e) 51 Bogie Rail Flat ("BRF") wagons.

Technical Parameters for Fleet Lease

The Project entails remanufacturing of a fleet of used locomotives and manufacturing new wagons (collectively, "Rolling Stocks") in accordance with technical parameters in the respective lease agreements as set out below.

A) Locomotive Fleet

	CLASS 25	CLASS 26	CLASS 29
			
Original Builder	Electro-Motive Diesel (General Motors)	Bombardier and General Electric (GE)	Dalian Locomotive and Rolling Stock Company
Build year	2002	2003-2004	2005
Locomotive type	Shunting	Mainline	Mainline
Total number in fleet	Five (5)	Nineteen (19)	Twenty (20)
TECHNICAL PARAMETERS FOR REFURBISHED FLEET PER LEASE AGREEMENT FOR ROLLING STOCK (LOCOMOTIVES)			
Track gauge	1,000 mm	1,000 mm	1,000 mm
Loading, structure gauge & kinematic envelope	KTMB standards	KTMB standards	KTMB standards
Couplers type & height	AAR approved design & 850 mm	AAR approved design & 850 mm	AAR approved design & 850 mm
Diesel engine	Internationally well-proven diesel engine. Rail traction application. Suitable for shunting/1000 tonnes pull application.	Internationally well-proven diesel engine. Rail traction application. Suitable for 2000 to 3000 tonnes pull application.	Internationally well-proven diesel engine. Rail traction application. Suitable for 2000 to 3000 tonnes pull application.
Brake system	AAR compliant	UIC compliant	UIC compliant
Bogie wheel arrangements	Co-Co wheel arrangement	Co-Co wheel arrangement	Co-Co wheel arrangement
Driving cab	Twin cab	Twin cab	Twin cab
Axle loads	Less or equal to 16 tonnes	Less or equal to 20 tonnes	Less or equal to 20 tonnes
Design & operation speed	Design speed – 107 km/h Operating speed – 90 km/h	Design speed – 140 km/h Operating speed – 120 km/h	Design speed – 140 km/h Operating speed – 120 km/h

B) Replacement Wagon Fleet

GENERAL SPECIFICATIONS FOR FLAT WAGON	
	
Track gauge	1,000 mm
Loading, structure gauge & kinematic envelope	KTMB standards
Axle load	20-tonne
Couplers type & height	AAR – Automatic knuckle coupler & 850 MM
Remote monitoring system	GPS-based system with enhanced asset health data
Wagon floor height from rail level	1,010 mm
Brake systems	UIC compliant
Minimum clearance above rail level	125 mm
Design & operation speed	Design speed – 120 km/h Operating speed – 100 km/h
Type of flat wagons	1-unit 40ft ISO Container 2-unit 20ft ISO Container

The replacement flat wagons, 246 in total, will be used for transporting intermodal containers. The wagons can carry both 20-foot and 40-foot containers in single or double stack configurations.

Project Siting and Construction

The Project's manufacturing, remanufacturing and maintenance facilities will be sited adjacent to SMH Rail's existing locomotive and freight wagon manufacturing plant in Klang. The siting decision is compatible with current zoning and permitted land use with no existing sensitive land uses in close proximity. As this is not a newly acquired greenfield site, the said facilities will be able to take advantage of previous investments in infrastructure including roads, water/sewer or utilities and significantly minimise potential corresponding environmental, economic, public health and sustainability impacts. In addition to better environmental, economic and public health outcomes, other potential benefits of the Project's siting include reduced potential liability and disruption arising from environmental issues during the construction phase. Construction of the facilities is scheduled for completion at the end of the third quarter (Q3) of 2024.

The Project's Environmental and Social Co-Benefits

The Project contributes to sustainability goals such as:

1. **Environmental Sustainability:** Refurbishing and leasing out of the refurbished rolling stock promotes the reuse and extension of the lifespan of existing assets. This contributes to resource conservation, waste reduction, and lower carbon emissions compared to manufacturing new equipment. The Project will also reduce GHG emissions of the remanufactured locomotives in-service by enhancing their fuel efficiency, reliability and pulling power. BMSB intends to repower the locomotives with engines that meet the Tier-3 emission standards set by the United States Environmental Protection Agency (EPA). Importantly, Tier-3 compliant engines incorporate advanced combustion technologies, optimised fuel injection, and improved aftertreatment systems. Because of improved combustion efficiency and better control systems, Tier-3 compliant engines are more fuel-efficient, enabling reduced fuel consumption which, in turn, translates into decreased greenhouse gas emissions. Upgraded locomotives reduce nitrogen oxides (NOx) emissions, thus helping control ozone pollution. Upgrading to cleaner technology will benefit both the environment and the rail industry.

2. **Social Sustainability:** Transitioning the acquired locomotive fleet from Tier 0 to the more stringent Tier 3 standards will benefit ambient air quality and particularly benefit those who live or work along the rail lines serviced by the refurbished fleet. Tier 3 standards impose stricter limits on NOx and particulate matter (PM2.5). NOx emissions are associated with various health risks, including respiratory diseases, cardiovascular issues, and cancer while PM2.5 is known to affect lung health. As locomotives have long lifespans, the upgrading of existing locomotives to achieve improved emissions performance can yield significant public health benefits over their extended life. Apart from promoting public health by curbing pollution and safeguarding well-being communities, the Project will also provide opportunities for work that are productive and deliver a fair income, security in the workplace, and social protection for workers and their families.

3. **Economic Sustainability:** The Project's rail fleet will support intermodal (IM) freight, a fast-growing major rail traffic segment which serves a diverse range of industries from agriculture and chemicals to the industrial, retail and resource-based sectors of the domestic economy. The Project will contribute towards enhancing supply chain efficiency and contributing to economic growth. Additional economic benefits include more freight capacity for future demand, as well as a decreased need for highway expansion and decreased sensitivity to volatile fossil fuel costs (as a consequence of reduced total truck fuel use) where an increase in IM share of long-haul freight occurs. Rail transport is generally more energy-efficient than other modes of transportation, such as road or air. The Project will also achieve meaningful economic sustainability benefits for the RAC and/or Keretapi Tanah Melayu Berhad ("KTMB") in the form of financial flexibility, access to upgraded rolling stock (and mitigation of associated technological obsolescence risk), predictable costs, and the ability to focus on core business activities. As buyer-lessor, the Project will allow BMSB to add value to the locomotives through remanufacturing and obtain a stable and predictable revenue stream for the 25-year duration of the long-term leases of the locomotives and replacement wagons. BMSB can leverage SMH Rail's expertise and experience in rolling stock remanufacturing and MRO in establishing standalone remanufacturing, manufacturing, and maintenance operations for the Project in optimising the remanufacturing and maintenance processes. Importantly, the Project will create new job opportunities and help promote inclusive economic growth. On a combined basis, both the refurbished locomotive fleet and the replacement wagon fleet will have a composition of 60% locally sourced components and 40% imported ones. The local content component will bolster domestic manufacturing and production, job creation, economic growth, and support local business. Additionally, it can help strengthen domestic supply chains, and promote national self-sufficiency and resilience.

The aforementioned sustainability outcomes are consistent with the Malaysia's National Transport Policy (NTP) 2019-2030 which envisions freight rail as a vital component of the country's transport system, supporting economic growth, environmental sustainability, and efficient logistics. On a related note, freight rail can play a meaningful role in helping businesses achieve their science-based targets for carbon emissions from operations and supply chains, contributing to the global effort to mitigate climate change and promote sustainable development.

Apart from seeking to increase the utilisation of rail services for goods and encouraging a shift towards a green transport ecosystem, the NTP also gives emphasis to the need to reinforce the maintenance regime for transport infrastructure which the Project also addresses. On a related note, regular maintenance of rolling stock by BMSB for the entire 25-year duration of the respective lease agreements for the refurbished locomotives and replacement wagons will support safe and efficient rail operations.

7. Use of Proceeds

The proceeds raised from the issuance of the Sustainability Sukuk Wakalah under the Sustainability Sukuk Wakalah Programme shall be utilised for the following Shariah-compliant purposes:

a) To part finance all fees, costs and expenses in relation to the Project and the manufacturing/remanufacturing of such spare Rolling Stocks, including the refinancing of any bridging facilities that were undertaken for the Project;
b) To defray all fees and expenses as well as reserve requirement in connection with the Sustainability Sukuk Wakalah Programme; and
c) To refinance the Sustainability Sukuk Wakalah.

All assets, investments and other related and supporting expenditures of the Project under the Framework may relate to more than one of the broad Green and Social project categories and/or environmental and/or social objectives as set out below. These broad project categories are recognised by the ICMA Principles, the ASEAN Bond Standards; and the SC SRI Sukuk Framework. To the extent feasible, BMSB intends to comply with the principle of substantial contribution to climate change mitigation established by BNM's CCPT and SC's SRI Taxonomy in the funding of the Project and its sub-projects, thereby playing a meaningful role in the transition to low-carbon transportation.

Lookback period: The proceeds from Sustainability Sukuk Wakalah issued will be used for: (i) post-issuance financing of investments and/or expenditures incurred or initiated after the issuance date of the Sukuk Wakalah; (ii) refinancing of pre-issuance investments and/or expenditures initiated up to one year prior to the execution of any Sustainability Sukuk Wakalah issuance.

Mapping the Use of Proceeds to Green and Social Project Categories

Green and social eligible project category	Eligibility Criteria	SDG Alignment
Green Project Category: Eco-efficient and/or circular economy adapted products, production technologies and processes **Environmental Objectives:** Increase resource efficiency, extend the life of rolling stock and climate change mitigation	Investments and/or expenditure related to the acquisition of used rolling stock and the development, acquisition, construction, installation and maintenance of remanufacturing or remanufacturing infrastructure. Example sub-projects include, but are not limited to: • Rolling stock acquired from RAC • Infrastructure: workshop(s), cleaning facilities, paint shop and drying facility, quality control and inspection stations, training facilities • Equipment: overhead cranes or gantry cranes for lifting heavy components, material handling equipment, computerised diagnostic systems and testing equipment, welding and fabrication tools	 **SDG 8.4:** Improve resource efficiency in consumption and production to decouple economic growth from environmental degradation.  **SDG 12** **12.2:** By 2030, achieve the sustainable management and efficient use of natural resources. **12.5:** By 2030, substantially reduce waste generation through prevention, reduction, recycling and reuse The remanufacturing of the rolling stock will reduce the need for new materials and minimise waste, allowing the GHG emissions generated by new locomotive building to be avoided. Importantly, the refurbished locomotives and replacement wagons will be capable of providing reliable service for an extended period.
Green Project Category: Clean transportation **Environmental Objectives:** Reduce GHG, harmful exhaust emissions and pollution **Social Project category:** Climate transition **Social Objective:**	Investments and/or expenditure related to the design and manufacture of rolling stock, the installation of technologies and/or components that contribute directly or indirectly to a reduction of CO_2 per tonne-km for freight rail and/or pollution prevention and control. Example sub-projects may include, but are not limited to: • Installation of energy-efficient and/or emission reduction technologies and components, including engines to reduce energy consumption and GHG emissions and/or air pollutants	 **SDG 9.1:** Develop quality, reliable, sustainable, and resilient infrastructure, including regional and trans-border infrastructure, to support economic development and human well-being.

Green and social eligible project category	Eligibility Criteria	SDG Alignment
Reduce GHG and harmful exhaust emissions	• Manufacture of freight wagons • Manufacture of spare mainline and shunting locomotives • Maintenance management and condition monitoring technology and software supporting rolling stock's early maintenance planning and predictive maintenance • Infrastructure: depot(s), cleaning facilities, wheel shop, inspection pits, parts storage facilities, training facilities • Equipment for rolling stock maintenance • Maintenance of a critical inventory of spare parts, components, and supplies	Upgrading and maintaining rolling stock are prerequisites to increasing the efficiency and utilisation of rail transport, and supporting efficient, clean and responsible freight movement. To the extent that the cargo fleet remanufacturing/manufacturing project is expected to support an increase in rail's representation in terms of freight carried, it will also contribute towards the national sustainable transport agenda of improving the environmental performance of transport while satisfying national rail transportation demands. Over a longer time horizon, the shift to more sustainable freight transport patterns would save spending on fossil fuels and lower capital investment related to road infrastructure, and associated negative impacts on ecosystems and road congestion. Development of sustainable freight transport will also enable economic growth. The Project will foster local economic development, including job creation and skills development. Meanwhile, the participation of small and medium-sized enterprises (SMEs) within the local rail supply chain not only bolsters the domestic economy but also fosters sustainability through diminished reliance on imports.  **3.9:** By 2030, substantially reduce the number of deaths and illnesses from hazardous chemicals and air, water, and soil pollution and contamination. An increase in rail's representation in terms of freight carried, whether through a modal shift to rail or an increase in intermodal transport of goods will also positively impact

Green and social eligible project category	Eligibility Criteria	SDG Alignment
		public health (through reductions in the emissions of greenhouse gases, black carbon and air pollutants) and road safety. Other than reduced greenhouse gas emissions, rail's notable environmental benefits include reduced air and noise pollution and land take.
Green Project Category: Pollution prevention and control **Environmental Objective:** To reduce the environmental impact of production processes and promote sustainability in operations.	Investments and/or expenditures related to pollution prevention and control, and associated environmental monitoring. Example sub-projects may include, but are not limited to: • Process/system/equipment to reduce air pollution including air pollution control systems that capture and treat emissions from various manufacturing processes, such as painting, welding, and coating including system/facility upgrades and maintenance, as well as fire protection equipment • Waste segregation and recycling facilities • Environmental monitoring activities including on-site due diligence/ regular inspection of facilities • Training and education programmes on proper waste handling, recycling practices, and pollution prevention measures for employees	 **SDG 3.9:** By 2030, substantially reduce the number of deaths and illnesses from hazardous chemicals and air, water and soil pollution and contamination.  **SDG 12.4:** By 2020, achieve the environmentally sound management of chemicals and all wastes …. in order to minimise their adverse impacts on human health and the environment. Effective waste management reduces pollution and prevents harmful substances from contaminating soil, water, and air, safeguarding ecosystems and human health. It also reduces the strain on landfills, which can lead to groundwater contamination and other environmental issues.
Green Project Category: Sustainable Water and Wastewater Management **Environmental Objectives:** Sustainable use and protection of water resources and sustainable wastewater management	Investments and/or expenditures related to initiatives aimed at reducing water consumption, optimising water usage, and implementing responsible wastewater management practices. Example sub-projects may include, but are not limited to: • Implementation of water-saving technologies • Rainwater harvesting systems for non-potable purposes, such as industrial processes and cleaning	 **SDG 6:** **6.3:** By 2030, improve water quality by reducing pollution, eliminating dumping and minimising release of

Green and social eligible project category	Eligibility Criteria	SDG Alignment
	• Wastewater treatment systems to treat contaminated water generated during cleaning processes, equipment maintenance, or other activities • Measures to prevent stormwater runoff from carrying contaminants into waterways • Wastewater monitoring equipment and systems to ensure compliance with environmental standards. • Third-party audits and verification of sustainability performance. • Conducting a water footprint assessment to identify areas of high water consumption and develop targeted strategies for reduction	hazardous chemicals and materials, ….. 6.4: By 2030, substantially increase water-use efficiency across all sectors, …… Sustainable water resources and wastewater management plays an essential role in environmental conservation and long-term sustainability and is crucial for environmental compliance.

EXCLUSIONS

BMSB will not knowingly allocate proceeds from Sustainability Sukuk Wakalah to activities or transactions that do not comply with local laws and regulations, including laws and regulations concerning environmental protection, land use, human rights, bribery, anti-corruption, labour welfare and others. Activities that under no circumstances may be considered environmentally and/or socially sustainable will be excluded by the Framework; this includes activities that relate to alcohol, gambling, tobacco and weaponry or involve exploitation of human rights, modern slavery or child labour. This list of excluded activities will be subject to ongoing review and updates to reflect evolving environmental and social standards.

8. Process for Project Evaluation and Selection

A SWG composed of BMSB top management representatives from key functional areas of Finance, Operations and Human Resources, led by the Chairman and Managing Director (CMD) shall be responsible for governing selection and monitoring of all assets, investments and other related and supporting expenditures that qualify as eligible under this Framework. It will also be responsible for ensuring that the activities and transactions comply with relevant national environmental laws and regulations.

BMSB's operations, production and finance departments will be involved in identifying eligible investments and expenditures that align with the Framework and sustainability objectives, as appropriate to their responsibilities. For projects with significant environmental implications, selected staff and management with accountability for environmental compliance may provide expertise on environmental impact assessment and mitigation measures. Eligible investments and expenditures are approved at the corresponding management level according to internal authorisation procedures. The SWG is responsible for evaluating and confirming the eligibility of proposed investments and expenditures, considering their ESG outcomes, and approving them for allocation. Thereafter, management will ensure that all relevant environmental and social risk management practices are followed, with timely identification and escalation to SWG of any risks that could negatively impact the environment, stakeholders, or the Sustainability Sukuk's objectives, to support prompt resolution of concerns. This, and integrating SMH Rail's proven sustainability practices into BMSB's operations will ensure that the proposed investments meet the Framework's eligibility criteria and effectively manage potential negative impacts. This approach will also help drive positive environmental, economic, and social outcomes.

The SWG will meet at least on a quarterly basis to review the allocation of the Sustainability Sukuk Wakalah proceeds and to facilitate ongoing reporting. In addition, the SWG will be responsible for managing any future updates of the Framework.

9. Management of Proceeds

The proceeds from the issuance of Sustainability Sukuk Wakalah will be deposited into a designated account ("Disbursement Account"), which will be jointly operated by AmInvestment Bank Berhad ("AIBB") and BMSB, acting as the security agent for the Sukukholders ("Security Agent"). BMSB is committed to transparency and accountability in the management and allocation of the Sukuk proceeds. The Security Agent will ensure that the Sustainability Sukuk Wakalah proceeds are allocated in accordance with the terms and conditions under the financing documents of the Sustainability Sukuk Wakalah Programme and in compliance with the Use of Proceeds section set forth in the Framework, supported by satisfactory documentary evidence. Post- completion of the full delivery of the Rolling Stocks, any unutilised amount shall be transferred to the Revenue Account and the Disbursement Account closed thereafter. The Revenue Account will be jointly operated by BMSB and AIBB prior to an event of default and solely by AIBB post an event of default.

Pending allocation to eligible projects, net proceeds from issuances of Sustainability Sukuk Wakalah may be temporarily invested into investment products approved by the Shariah Advisory Council of the SC and/or the Shariah Advisory Council of BNM ("Permitted Investments") as follows: (a) Mudharabah, Wadiah, Murabahah (via Tawarruq arrangement) and/or other Islamic deposits under Shariah principles with licensed financial institutions with a short-term rating of MARC-1 by MARC or its equivalent and a minimum long-term rating of AA- by MARC or its equivalent; (b) Islamic Treasury bills, Islamic money market instruments and/or Sukuk issued or guaranteed by BNM or the Government of Malaysia; and (c) Islamic bankers acceptances, Islamic bills, Islamic money market instruments issued by licensed financial institutions with a short-term rating of MARC-1 by MARC or its equivalent and a minimum long term rating of AA- by MARC or its equivalent.

10. Reporting

On an annual basis, BMSB shall make readily available up to date information on a designated website on the following:

- the amount of net Sukuk proceeds that have been allocated to the Eligible Sustainable SRI Project including a brief description of utilisation; and
- the outstanding amount of net Sukuk proceeds yet to be allocated to the Eligible Sustainable SRI Project and where such amount is temporarily invested pending allocation of such amount.

The level of detail provided will be determined based on practicality, considering commercial, confidentiality, and other relevant factors. BMSB intends to publish such an update annually until the Sustainability Sukuk Wakalah proceeds have been fully allocated to fund the Eligible Sustainable SRI Project, and on a timely basis in case of material developments. In order to provide transparency to investors and stakeholders regarding the use of proceeds and the achievement of sustainability objectives, BMSB intends to publish information on qualitative performance indicators and, where feasible, quantitative metrics (together with the disclosure of the key underlying methodology and or corresponding assumptions) to provide a holistic view of the Project's impact on stakeholders, the environment, and society. Such information may include:

1. **Environmental Impact**:
    - Increase in the lifespan of fleet vehicles through remanufacturing compared to traditional end-of-life disposal practice
    - Percentage reduction in raw material consumption for remanufacturing compared to manufacturing new fleet vehicles
    - Reduction in energy consumption per unit of cargo transported as a result of fleet remanufacturing
    - Adoption of eco-friendly technologies or materials in the remanufacturing process
    - Implementation of sustainable practices in fleet maintenance
    - Expected reduction in GHG emissions per year resulting from the use of refurbished, more energy-efficient cargo fleet vehicles

2. **Social Impact**:
    - Compliance with industry standards and regulations related to occupational health and safety
    - In respect of job creation, the number of jobs created or sustained as a result of the remanufacturing project, both directly (e.g., through employment at the project site) and indirectly (e.g., through supply chain support)
    - Safety improvements made to the cargo fleet vehicles, such as the installation of advanced safety features or technologies, leading to a decrease in safety incidents

3. **Economic Impact**:
    - Contribution to the economic sustainability goals of the public rail sector
    - Alignment of project outcomes with SDGs
    - Intermodal (IM) freight capacity provided by the leased fleet.

11. External Review

BMSB has appointed MARC Ratings Berhad ("**MARC**") as an independent external party to issue a pre-issuance assessment report that the Sustainability Sukuk Framework is in alignment with the SC SRI Sukuk Framework, as well as with the ICMA Principles, in addition to ASEAN Bond Standards. Any such report may be made available on the MARC's webpage. Thereafter, BMSB may seek a post-issuance external review on the compliance with the Framework at its sole discretion.

Important notice

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